SYMBIOSIS CENTER OF CORPORATE AND PROFESSIONAL LEARNING

(A Unit of Symbiosis Skills and Professional University)

Name of Project

Brief on Mergers and its Importance

Candidate name, Batch code and Location

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Year

2026

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Introduction

Mergers and acquisitions have become a key strategic tool for strengthening competitiveness, improving operational efficiency, and achieving scale in the financial services sector. In India, consolidation in banking and financial services has accelerated due to regulatory reforms, increasing competition, and the need for stronger balance sheets. One of the most significant developments in this context was the merger of Housing Development Finance Corporation Ltd (HDFC Ltd) with HDFC Bank, which became effective on 1 July 2023.

HDFC Ltd was India's largest housing finance company with a strong mortgage-focused loan portfolio, while HDFC Bank was one of the country's leading private sector banks with a large low-cost deposit base and diversified lending operations. The merger combined complementary business models, creating India's largest private sector bank by assets.

This project is significant as it examines one of the most transformational mergers in India's financial sector. The consolidation reshaped the competitive landscape of Indian banking by integrating housing finance with universal banking. The analysis highlights strategic rationale, financial impact, synergies, challenges, and post-merger performance, offering insights into how large-scale mergers influence balance sheets, profitability, liquidity, and shareholder value.

The scope of this project includes:

- Overview of mergers and acquisitions in India
- Strategic rationale behind the HDFC–HDFC Bank merger
- Pre-merger and post-merger financial position analysis
- Evaluation of synergies and integration challenges
- Peer comparison with major Indian banks
- Assessment of short-term and long-term implications

Mergers and Acquisitions (M&A)

Mergers and acquisitions (M&A) are the key drivers of India's economic future. They are not all about large companies buying out or merging with other companies; they are about growth, consolidation, and innovation. Whether tech companies are acquiring AI startups in order to stay ahead of the curve, retailing giants are growing their online footprint, or energy providers are investing in sustainability, M&A is what drives business change.

India's M&A Market in 2025

India's M&A market in 2025 is flourishing, with August alone witnessing a deal value of over $20 billion, according to ETMarkets. The top sectors driving activity were finance, clean energy, retail, and technology, a manifestation of India's growing digital economy and thrust towards renewable energy.

Global drivers have also played their part big time. The steady inflow of foreign direct investment (FDI), sound government policies like the Production-Linked Incentive (PLI) scheme, and fairly stable interest rates have provided an excellent setup for M&A in India. This means that companies are more than willing to shell out top dollar to buy companies to get a piece of the market and preempt their business model for the future.

Investment Bankers' Role in Mergers and Acquisitions

Deal Origination: Identifies potential target or acquirer and peddles opportunities to clients.

Valuation & Financial Modeling: Creators of models to estimate the value of the target company using techniques like DCF, comparable companies analysis, and precedent transactions.

Negotiations & Due Diligence: Facilitates negotiations between counterparties, conducts legal and financial due diligence, and ironing deal terms.

Regulatory Approvals: Obtaining the approvals of SEBI, CCI, and other regulators before deal closure.

The Role of Financial Modeling in M&A

Financial modeling is the backbone of every successful M&A deal. It allows analysts and bankers to simulate various scenarios and understand how an acquisition will impact revenue, costs, and shareholder value. A well-built financial model helps businesses decide:

Fair Valuation – Determining whether the target company is worth the asking price.

Synergy Analysis – Estimating cost savings and revenue boosts from the merger.

Risk Forecasting – Modeling best-case, base-case, and worst-case scenarios to reduce financial risk.

Key Recent Mergers & Acquisitions

Finance:

HDFC Ltd. & HDFC Bank: A landmark merger finalized in 2023, creating India's largest private sector bank.

IDFC FIRST Bank & IDFC Limited: A merger completed in early 2024.

- PSU Bank Consolidation (2020): PNB merged with OBC & United Bank; Canara absorbed Syndicate; Union Bank merged with Andhra & Corp Bank; Indian Bank merged with Allahabad Bank.

Aviation:

Air India & Vistara: Tata Group is integrating Vistara into the full-service Air India, with a planned full merger.

Media & Entertainment:

Adani Group & NDTV: Adani acquired a controlling stake in NDTV.

PVR & INOX: Merged to form India's largest cinema chain.

Tech & E-commerce:

Zomato & Blinkit: Zomato fully acquired the quick commerce platform Blinkit (formerly Grofers).

Industry & Retail:

JSW Paints & AkzoNobel India: JSW Paints acquired a majority stake in AkzoNobel India.

Capgemini & WNS: Capgemini is acquiring WNS Holdings.

Other Notable Deals (2024-2025)

Tata Motors & Tesla: Tesla took a 20% stake in Tata Motors' EV arm (2024).

Reliance Jio: Acquired stakes in cloud computing startups.

Tata Digital: Acquired a D2C personal care brand.

Literature Review

Existing studies on banking sector mergers emphasize that consolidation improves scale, funding efficiency, and cross-selling capabilities but may create short-term pressure on profitability and liquidity. Research indicates that mergers between complementary institutions—such as a bank and a housing finance company—tend to generate long-term value through lower funding costs and diversified revenue streams. Studies also highlight that integration risks, regulatory compliance, and balance-sheet adjustments often affect post-merger financial ratios in the initial years.

Limitations of the Study

- The analysis relies on publicly available financial disclosures
- Short-term post-merger data may not fully capture long-term synergies
- Market sentiment and macroeconomic conditions may influence financial outcomes
- Some integration benefits are qualitative and difficult to quantify

Problem Statement and Objectives

Problem Statement

While the HDFC–HDFC Bank merger was strategically sound, large-scale consolidations often create short-term disruptions in financial performance. There is a need to analyze whether the merger has strengthened the combined entity's financial position and how it compares with major peers in the banking sector.

Objectives

- To understand the strategic rationale behind the merger
- To analyze pre-merger and post-merger financial performance
- To evaluate synergies and integration challenges
- To assess the impact on shareholders, customers, and the banking system
- To compare the merged entity with peer banks

Methodology

The study follows a descriptive and analytical approach based on secondary data. Information was collected from company disclosures, merger announcements, financial statements, and industry data. The analysis compares pre-merger financial positions of HDFC Ltd and HDFC Bank with the post-merger performance of the combined entity. Key parameters such as balance-sheet size, profitability, deposits, loan growth, liquidity indicators, and return ratios were examined. Peer comparison with major Indian banks was used to assess relative positioning and performance trends.

Implementation

Merger of HDFC Ltd and HDFC Bank



The two companies — quick profiles (pre-merger)

HDFC Ltd (Housing Development Finance Corporation):

India's largest mortgage finance company (est. 1977) — primary business: home loans / mortgage lending, housing finance products, and related financial services. It had large loan assets focused on retail housing finance and multiple subsidiaries/associates.

HDFC Bank:

One of India's largest private sector universal banks (founded 1994) offering retail & corporate banking, cards, treasury, wealth, etc. Before the merger it was a full-service bank with broad deposit franchise and widespread distribution.

The boards announced a scheme to amalgamate Housing Development Finance Corporation Ltd (HDFC Ltd) into HDFC Bank in April 2022; the amalgamation became effective July 1, 2023 and HDFC Ltd. Shares were delisted in mid-July 2023.

Share swap ratio: HDFC Ltd shareholders received 42 equity shares of HDFC Bank for every 25 HDFC Ltd shares (i.e. ~1.68 HDFC Bank shares per HDFC share; fractional shares handled per the scheme).



Why they merged?

- Complementary franchises: HDFC Ltd had a very large mortgage loan book but limited low-cost deposits; HDFC Bank had large deposit pools and broad retail distribution. Combining the two creates one entity that can fund mortgages with bank deposits (cheaper funding) and cross-sell banking products to mortgage customers.

- Scale & customer cross-sell: The merged bank gains scale (assets, distribution, branches/BC network) and can increase product penetration (savings accounts, deposits, cards, payments) among existing HDFC mortgage customers.

- Operational & tax/legal efficiencies: Consolidation simplified group structure, removed related-party/holding-company complexity, and allowed some cost/income efficiencies over time. (Also the scheme was structured to be tax-neutral for the share swap at allotment).

Deal mechanics & approvals

Approved by shareholders, National Company Law Tribunal (NCLT), Reserve Bank of India and other regulators. Effective date: 1 July 2023; HDFC Ltd shares were delisted shortly after (mid-July 2023). Swap: 25 HDFC Ltd → 42 HDFC Bank shares.

Pre-merger: Mar 31, 2023 vs post-merger: Mar 31, 2024 / early FY25 updates:

HDFC Ltd — pre-merger (HDFC Ltd standalone / consolidated, FY ended Mar 31, 2023)

Business: India's largest housing finance company (retail home loans, mortgage finance).

Total assets (consolidated, ~Mar-2023): ~₹7.26 lakh crore (₹726,774 crore) (reported in HDFC consolidated balance sheet summaries).

Interest income / revenue from operations (FY23, consolidated): interest income shown in HDFC's FY23 consolidated results (interest income line ~₹16,272 crore in the Q4/FY23 consolidated results summary snippet).

Profit (PAT) FY23: HDFC's FY23 reports and press releases show healthy profits (see annual / Q4 FY23 consolidated releases). (Full line item values are in the FY23 consolidated results PDF).

Asset quality / PCR / CAR: HDFC historically reported strong asset quality and capital adequacy ratios as a regulated HFC (see FY23 annual report).

Interpretation (pre-merger): HDFC Ltd was a mortgage-heavy lender with large assets and a strong, well-regulated balance sheet focused on retail housing finance. Its funding profile included wholesale borrowings and market borrowings (not a deposit franchise like a bank).

HDFC Bank — pre-merger (FY ended Mar 31, 2023)

Business: full-service universal bank with large deposit franchise, retail & wholesale lending, cards, payments.

Advances / loan book (Mar-2023): HDFC Bank's FY23 consolidated results show the bank's advances and other lending figures (see HDFC Bank FY23 financials).

Deposits (Mar-2023): the bank had a very large deposit base pre-merger (detailed in its FY23 financials).

NII / PAT (FY23): HDFC Bank reported healthy net interest income and profits in FY23 (see FY23 annual/quarter disclosures).

Asset quality: GNPA ratios for the bank in FY23 were at multi-year lows / well provisioned (HDFC Bank reported low single-digit GNPA ratios in FY23 disclosures).

Interpretation (pre-merger): HDFC Bank was a high-quality bank with a large low-cost deposit base and wide distribution; it was not mortgage-dominant like HDFC Ltd, but had significant retail lending.

Post-merger (HDFC Ltd amalgamated into HDFC Bank — effective 1 Jul 2023) — HDFC Bank (combined) FY24 and early FY25 indicators

Merger effective date: 1 July 2023; after this date HDFC Ltd's mortgage book and results were consolidated into HDFC Bank's balance sheet.

Balance sheet size & advances: Post-merger HDFC Bank's advances (gross loans) and total assets rose materially because HDFC Ltd's large mortgage portfolio was added to the bank. HDFC Bank's FY24 disclosures / Q4 FY24 key-parameters show a substantially larger advances number for the combined bank

Deposits / LDR: Immediately after the merger the loan-to-deposit ratio (LDR) spiked because loans increased (HDFC Ltd's loan book merged in) without an immediate, equivalent increase in deposits; management has signalled and taken steps to raise deposits and securitise part of the loan book to restore LDR towards pre-merger levels.

Net interest income / PAT (FY24): The enlarged bank reported higher absolute NII and PAT (consolidated FY24 numbers reflect combined scale). HDFC Bank's FY24/quarterly packs list NII and PAT for the combined entity (e.g., Q4 FY24 NII ~₹290.8 bn

Asset quality & provisions: The merged book retained strong asset quality overall; HDFC Bank reported GNPA ratios and high PCRs for the combined portfolio in FY24 disclosures — management commentary indicates provisioning coverage remained robust.

Interpretation (post-merger): The combined entity is materially larger with a much bigger mortgage book funded (over time) by the bank's deposit base. Short-term effects included LDR elevation and some pressure on funding/margins while deposits were ramped up; medium-term benefits include lower funding cost for mortgages and cross-sell opportunities

Immediate post-merger effects

- Balance sheet growth & composition: The merger materially increased HDFC Bank's loan book because HDFC Ltd's large mortgage portfolio was added to the bank's advances — this temporarily pushed up the bank's loan-to-deposit ratio (LDR) because loans rose faster than deposits. Reuters / regulatory commentary noted LDR rose above pre-merger levels, prompting management actions.

- Deposit mobilization & margin impact: Post-merger, HDFC Bank worked to increase deposits and manage funding mix; management set targets to bring LDR back to ~85–90% over a couple of years and used securitisation and deposit drives to improve the funding profile. Analysts flagged near-term margin and liquidity pressure as the bank assimilated the mortgage book, but results through FY25 show improving deposit growth and margin stabilization.

- Cross-sell & customer acquisition: Management and analysts have pointed to strong cross-sell: a high share of HDFC home-loan customers were converting into full banking customers (current account / savings / cards)

— a key metric showing merger synergies gaining traction. Independent commentary and quarterly analyst notes indicate faster onboarding of mortgage customers into the bank's retail ecosystem.

Synergies

- Lower funding cost for mortgage book: mortgages previously funded largely through wholesale/secured borrowings or liabilities of a NBFC/HFC are now backed by the bank's deposit base → improves net interest margins on mortgage portfolio over time.

- Cross-selling revenue: ability to sell current/savings accounts, cards, insurance, mutual funds and payment services to a large base of mortgage customers → fee income growth and sticky deposits.

- Distribution & origination scale: HDFC Bank's branches, digital channels, and deposit network improve customer acquisition & servicing for home loans and related products.

- Cost efficiencies / simpler group structure: elimination of duplicated corporate functions and streamlined group organization can reduce overheads and regulatory frictions.

Quantified benefits & near-term challenges

Benefits realized / expected:

- Stronger scale & market leadership — the merged entity became India's largest private bank by balance sheet and market cap, improving competitive position and pricing power.

- Cross-sell success metrics — company commentary and analyst notes indicate a high conversion rate of mortgage customers into full banking customers (management highlighted very high cross-sell rates in quarters following the merger). This translates into more low-cost deposits and fee streams.

Challenges / near-term costs:

- Loan-to-deposit ratio (LDR) spike — because HDFC Ltd's loan book came in without matching deposits, LDR rose (management signalled plans to reduce to mid-80s by FY26/FY27). The bank used securitisation and deposit mobilization to manage this. Higher LDR can pressure liquidity and margins until deposits catch up.

- Margin pressure & integration costs — initial integration can pressure NIMs and require provisioning / one-off costs; these were noted by analysts early post-merger but subsequent quarters showed improvement in deposit growth and margin stabilization.

Who benefits and how? — for shareholders, customers, employees, and the banking system

Shareholders:

HDFC Ltd shareholders received HDFC Bank shares (1.68×). Longer term, shareholders of the merged group can benefit from consolidated earnings, higher dividend capacity, and simpler holding structure — assuming the bank realizes funding and cross-sell synergies and manages LDR and margins. Tax treatment of the swap was structured to be non-taxable on allotment under the scheme (per counsel/analyst writeups).

Customers

Mortgage customers gain access to full banking products (savings, payments, cards, deposits) and potentially cheaper mortgage pricing if funding mix improves. Bank customers get access to a larger mortgage product pipeline.

Employees & operations

Larger organization with cross-functional career opportunities; eventual rationalization in overlapping corporate functions

System / economy

Created one of India's largest private banks — affects credit availability patterns and industry dynamics (regulators and analysts have tracked the merger's impact on overall credit growth and deposit flows).

Ownership % after the merger

Shareholding of the merged entity (HDFC Bank)

After HDFC Ltd merged into HDFC Bank:

Former HDFC Ltd shareholders now own ~41% of HDFC Bank.That means all the shareholders who owned HDFC Ltd shares (before the merger) now own 41% of the combined HDFC Bank.

Remaining ~59% of the shares are held by *existing HDFC Bank's public shareholders* (including institutional investors, FIIs, retail, mutual funds, etc.).

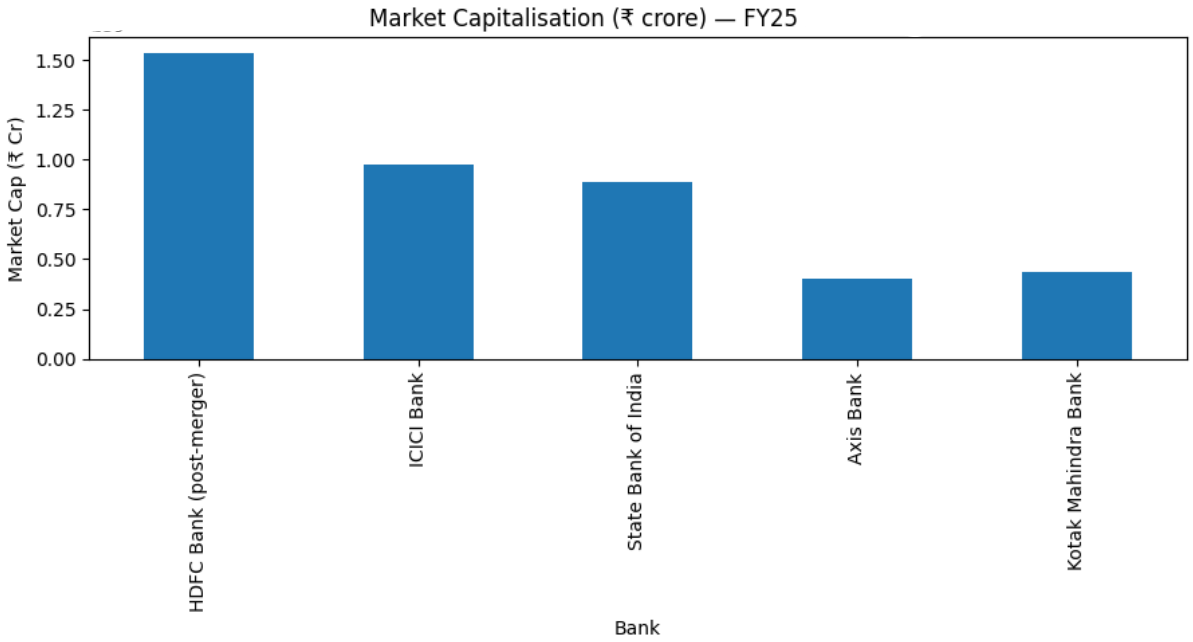
So the ownership split post-merger is:

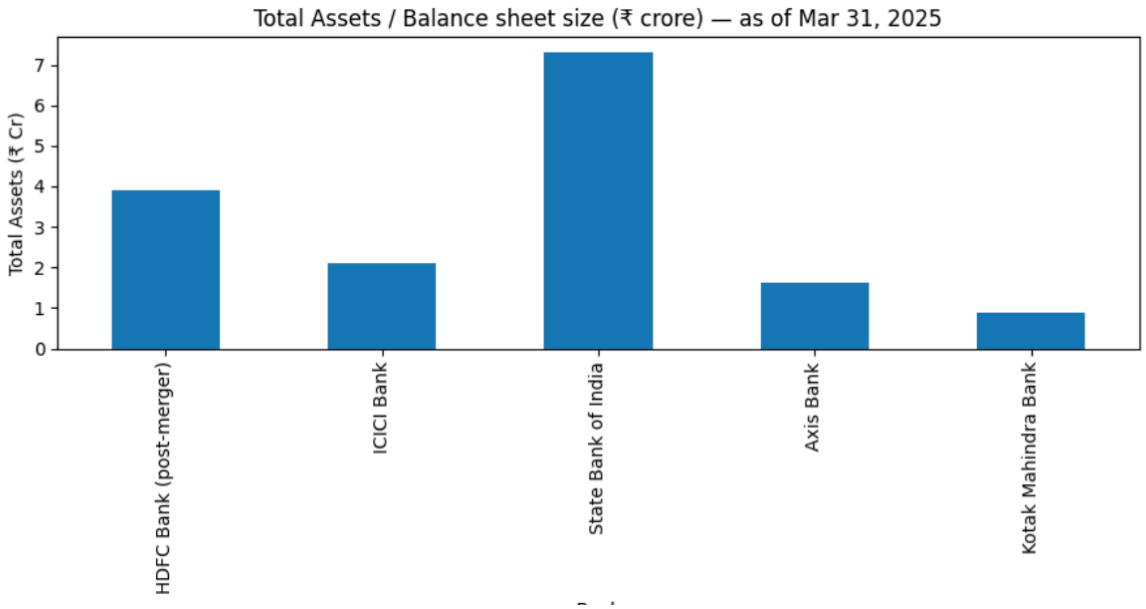
Category	Percentage Ownership in HDFC Bank
Former **HDFC Ltd shareholders**	**~41%**
Other **HDFC Bank shareholders (public shareholders)**	**~59%**

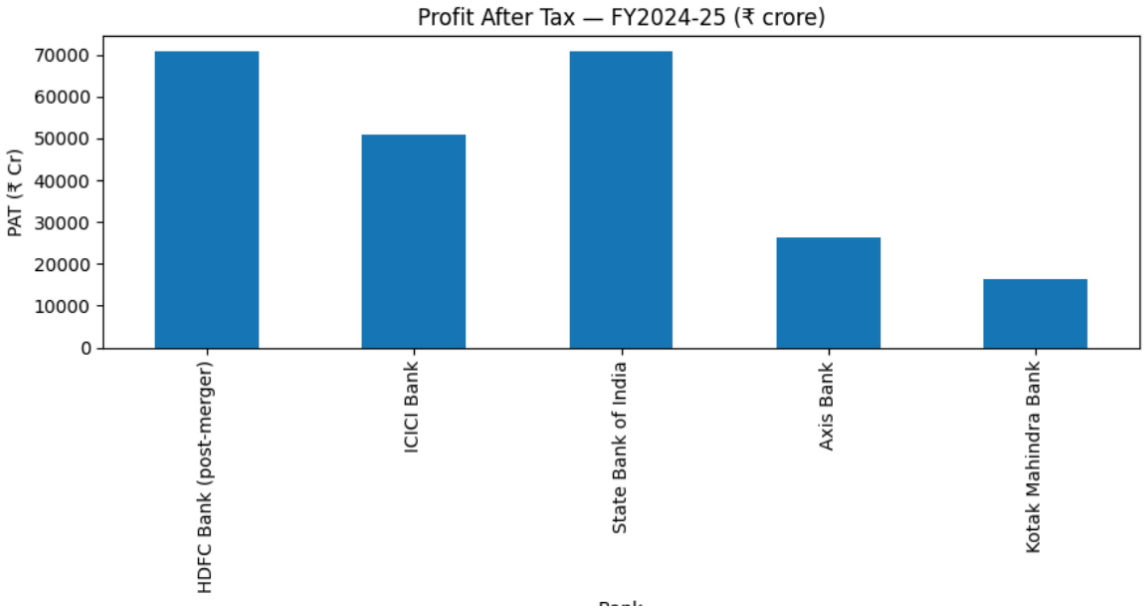
The merger combined India's largest mortgage financier (HDFC Ltd) with its largest private bank by retail distribution (HDFC Bank). The **main commercial payoff** is cheaper funding for mortgages, faster cross-sell to a large, high-quality customer base, and a simplified group structure — but the bank had to manage a temporarily higher loan-to-deposit ratio and margin/ liquidity issues while deposits catch up. The deal is structurally logical and early public-market / analyst commentary indicates the merger is delivering the expected strategic synergies even while management works to normalise funding ratios.

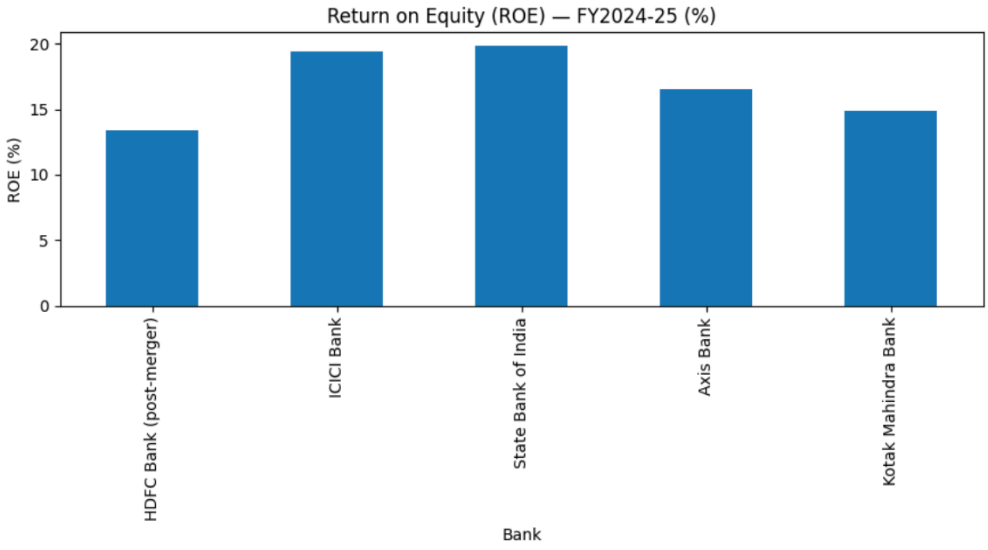
Metric	HDFC Bank (FY 2023)	HDFC Ltd (FY 2023)	Combined Entity — HDFC Bank (FY 2025)
Total Assets / Balance Sheet Size	**~₹ 34,16,310 cr**	**₹ 10,91,529 cr**	**₹ 39,10,199 cr**
Loans / Advances	**~₹ 24,84,862 cr *approx***	**₹ 7,23,988 cr**	**₹ 26,19,609 cr**
Deposits	**~₹ 23,79,786 cr *approx***	**₹ 1,52,111 cr**	**₹ 27,14,715 cr**
Net Profit (PAT)	**HDFC Bank's PAT in FY24 was ~₹ 60,812 cr (post-FY23) in standalone data**	**₹ 16,239 cr (Standalone FY 23 PAT)**	**₹ 67,347 cr (Net profit FY 25)**

Peer Comparison






Profit After Tax — FY2024-25 (₹ crore)
PAT (₹ Cr)
70000
60000
50000
40000
30000
20000
10000
0
HDFC Bank (post-merger)
ICICI Bank
State Bank of India
Axis Bank
Kotak Mahindra Bank


Return on Equity (ROE) — FY2024-25 (%)
ROE (%)
20
15
10
5
0
HDFC Bank (post-merger)
ICICI Bank
State Bank of India
Axis Bank
Kotak Mahindra Bank
Bank

(All monetary figures in **₹ crore**; FY = year ended Mar 31, 2025)

- Market cap
  - HDFC Bank (post-merger): ₹15,37,636 Cr.
  - ICICI Bank: ₹976,703 Cr
  - SBI: ₹889,047 Cr
  - Axis Bank: ₹399,315 Cr.
  - Kotak Mahindra Bank: ₹432,872 Cr.
- Total assets / balance sheet (Mar 31, 2025)
  - HDFC Bank (post-merger) balance sheet size: ~₹3,910,200 Cr (reported as 39,102 billion).
  - ICICI Bank: ~₹2,118,240 Cr (21,182.4 billion).
  - SBI: ~₹7,314,185 Cr (consolidated total assets).
  - Axis Bank: ~₹1,609,930 Cr
  - Kotak Mahindra Bank: ~₹879,774 Cr.
- Profit after tax (PAT) — FY2024–25
  - HDFC Bank (consolidated): ~₹70,790 Cr
  - ICICI Bank (consolidated): ~₹51,029 Cr.
  - SBI: ₹70,901 Cr.
  - Axis Bank: ₹26,373 Cr.
  - Kotak Mahindra Bank: ₹16,450 Cr
- ROE — FY2024–25 (%)
  - HDFC Bank: ~13.4%
  - ICICI Bank: ~19.45%.
  - SBI: ~19.87%.
  - Axis Bank: ~16.5%
  - Kotak Mahindra Bank: ~14.9%
  -

Results

- Market cap: Post-merger HDFC Bank is substantially larger than private peers by market cap.
- Balance-sheet: SBI remains much larger in total assets (as expected — the largest bank in India by assets). HDFC Bank (post-merger) is the largest private bank by assets, ahead of ICICI and Axis.
- Profitability (PAT): HDFC Bank and SBI show very similar FY25 PAT (~₹71k Cr each). ICICI is a step lower (~₹51k Cr). Axis and Kotak are materially smaller in absolute PAT.
- ROE: Public sector SBI and ICICI delivered higher ROE (~19–20%) in FY25; HDFC Bank's ROE is lower (~13–14%), reflecting merger balance-sheet effects (more assets taken on from HDFC Ltd, LDR adjustments and integration costs).

Conclusion:

The merger of Housing Development Finance Corporation (HDFC Ltd) with HDFC Bank marks a transformational consolidation in India's financial sector, creating the country's largest private sector bank by

assets. Strategically, the merger integrates HDFC Ltd's strong housing finance franchise with HDFC Bank's low-cost deposit base, diversified lending platform, and superior risk management capabilities.

In the short term, the merged entity has experienced temporary pressure on profitability metrics, particularly ROE and net interest margins, due to balance-sheet expansion, higher statutory liquidity requirements, and an elevated credit–deposit ratio. However, capital adequacy and liquidity remain comfortably above regulatory thresholds, indicating that the merger has not weakened the bank's financial stability.

From a medium- to long-term perspective, the merger is value-accretive. It enables funding cost reduction for the housing loan portfolio, cross-selling opportunities across retail and corporate customers, improved asset–liability management, and stronger competitive positioning against both private and public sector peers. Operational synergies, branch-level integration, and normalization of liquidity ratios are expected to gradually restore and enhance profitability.

Overall, the HDFC–HDFC Bank merger strengthens the bank's scale, resilience, and growth potential**,** positioning it as a dominant, diversified financial institution in India. While short-term adjustments are inevitable, the merger is fundamentally positive for long-term shareholders, customers, and the Indian banking system.

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- **Indian Banks' Association (IBA)** – Reports on banking consolidation and sectoral trends.
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- **ICRA Banking Sector Outlook** – Impact of mergers on liquidity, credit growth, and margins.
- **Fitch Ratings / Moody's Investor Service** – Credit assessment reports on Indian banks and post-merger implication **Economic Times / ETMarkets** – Coverage of HDFC merger announcements and market reactions.

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